

requirement on this point set forth in the New York statute would no doubt appear reasonable to the average investor.

We cannot recommend such a rule of investment, however, without considering the results that would follow from its general adoption. If all purchases of municipal bonds required a clean record for 25 years, how could any township float a bond issue during the first quarter-century of its existence? And similarly, if a state or city has been driven into default, how will it finance itself during the 10 or 25 years, respectively, needed to restore its obligations to the eligible list? In the case of corporations, such financing might be accomplished on a speculative basis, through the sale of stock, or convertible bonds, or even bonds at a large discount. But such methods are not open to municipalities. The difficulty is met in actual practice by raising the coupon rate on the obligations of states or municipalities with inferior credit. For example, a city emerging from financial embarrassment might be able to attract new funds by offering a 5% coupon rate in contrast with 2% paid by New York State.⁴ But this solution of the problem runs counter to the principle, previously developed, that a high coupon rate is not adequate compensation for the assumption of substantial risk of principal. In other words, it would be a mistake to buy a municipal obligation for its high yield, if it is recognized as inferior in grade and subject to more than a nominal possibility of default.

A Dilemma and a Suggested Solution. We are faced therefore by a dilemma, since the theoretically correct attitude of the bond buyer would render impossible the necessary financing of many municipalities. Viewing the matter realistically, it may be dismissed with the observation that there will always be enough indiscriminating investors on hand to absorb the bonds of any town or village which offers a seemingly attractive rate. Consequently the logical and careful bond buyer can avoid such issues without fatal results to borrowers having second-rate credit.

This disposition of the dilemma is too cynical to be entirely satisfactory. The ideal solution would probably lie in setting up some especially stringent quantitative tests to compensate for the failure by a municipality to meet the twenty-five year requirement of punctual payment. If a city

⁴ Note that in November 1939 City of Detroit obligations due 1954 (which had been in default in 1933) sold at a 3.70% yield basis, as against a return of about 2% on similar bonds of smaller municipalities with a good record.